SCP EQUITY RESEARCH

Skeena Resources, 27 June 2024

Ticker: SKE CN	**PF net cash:** C$116m	**Project**: Eskay Creek
Market cap: C$605m	**Price:** C$6.66/sh	**Country:** Canada, BC
REC. (unc): BUY	*TARGET (+270c): C$15.00/sh*	*RISK RATING (unc): HIGH*

By our math, we estimate an overall ~15% cost of capital on this week's pre-permit funding from Orion. We calculate the stream at US$2,000/oz gold price and US$30/oz silver, equating to 14% IRR (or ~18% at spot) assuming the stream is drawn at SCPe build start 4Q24, which is a key sensitivity worth noting i.e. the IRR increases if drawn later. Same goes for the over-run facility, where we estimate a ~23.5% IRR if drawn 6M before first production – the real 'icing on the cake' for Orion in our view, albeit we think post permitting / de-risking should warrant a positive re-financing opportunity before the over-run facility is needed. Most importantly, the funding allows Skeena to continue operational momentum through permitting towards 1H27 production target date, meaning some long lead items / pre-construction work can commence before full permits are granted, which helps maintain target dates—a key de-risking catalyst in our view. As such, we update our model for the Orion funding (incl. higher cash + share count) and lift our 0.5xNAV multiple to 0.8xNAV to reflect the lower risk given SCPe implied $139m 'buffer' based on 1H27 first gold. As such, ***we maintain our BUY rating and lift our C$12.30/sh PT to C$15.00/sh*** *based on 0.8x NAV5%-2,000 for the asset at build start plus a nominal US$75/oz for Snip. Stepping back, Skeena is positioned to be Canada's next gold-silver mine build upon submitting the EA draft application this summer. While currently in the inevitable Lassonde curve 'valley', we think this could change quickly over the coming 12M on positive permitting catalysts, commencement of pre-construction activities, and with further gold / silver price momentum (70-30 / Au-Ag revenue).*

US$750m Orion financing preserves schedule through permitting towards 1H27 production

Earlier this week, Skeena announced a US$750 million project financing package with Orion Resource Partners for the development, construction, and general working capital needed to advance the Eskay Creek Gold-Silver Project towards 1H27 production. The financing package includes:

- **US$100m Equity Investment:** with a portion priced and closing immediately, and US$25m closing later. Orion will own less than 20% of Skeena's shares upon completion and has rights to participate in future equity offerings.
- **US$200m Gold Stream:** drawn in five tranches (incl. initial US$5m, US$45m following receipt of the Technical Sample permit, and remaining three in US$50m tranches available as neede). Orion will receive 10.55% of payable gold (for the area +500m around existing MRE/reserve limits) once fully drawn at 10% of the LBMA AM gold fixing price for the LOM. Skeena has the option to buy back 66.7% of the stream in the 12 months following the project completion date.
- **US$350m Senior Secured Loan:** A 5.75-year term drawn over four equal US$87.5m tranches @ 3-month SOFR+7.75%. Interest will be paid quarterly, and principal repayments will start three months post-project completion in 15 quarterly installments. Additionally, there is a 1% standby fee and no break fee.
- **US$100m Cost Over-Run Facility:** provided at similar terms to the Senior Secured Loan, with a 2% original issue discount and a 1% availability fee.

Why we like Skeena

1. Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
2. Shift in market dynamics allows concentrate sales for lower capex
3. Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
4. Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

1. CY24: Long lead orders and civil (pre-permitting) construction start
2. 2Q24: PFS-level study on Snip based on M&I
3. Mid 2025: permits complete

4. Mid 2026: production start up

Research

Brandon Gaspar (Toronto) m +1 437 533 3142 bgaspar@scp-rf.com
Eleanor Magdzinski (Toronto) m +1 705 669 7456 emagdzinski@scp-rf.com

Ticker:	SKE CN	**Price / mkt cap:**	C$6.66/sh, C$605m	**Project PNAV today:**	0.35x	**Asset:**	Eskay Creek / Snip
Author:	B Gaspar	**Rec / 0.8xNAV PT:**	BUY, C$15/sh	**1xNAV$_{2Q24}$ FF FD:**	C$18.79/sh	**Country:**	Canada: BC

Commodity price	CY22A	CY23A	CY24E	CY25E	CY26E
Gold price	1,807	1,950	2,288	2,154	2,011

SOTP *project* valuation*	C$m	O/ship	NAVx	C$/sh
Ungeared proj. @ build start	2,429	100%	1.00x	24.34
Pro-forma net cash 3Q24	116	100%	1.00x	1.16
Cash from options	53	100%	1.00x	0.53
Snip (US$75/oz)	94	100%	1.00x	0.94
Asset NAV5% C$2000/oz	2,692			27.0
**Shares diluted for options but not mine build*			Market P/NAV	0.25x

Share data			
Basic shares (m)	90.8	FD with build equity raise	121.1
FD with options (m)	99.8		

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1800oz	$1900oz	$2000oz	$2100oz	$2200oz
10.0% discount	1,575	1,765	1,954	2,144	2,334
7.5% discount	1,826	2,045	2,265	2,485	2,704
5.0% discount	2,123	2,379	2,635	2,891	3,147
Ungeared project IRR:	47%	51%	54%	57%	60%
Project NPV (C$/sh)*	$1800oz	$1900oz	$2000oz	$2100oz	$2200oz
10.0% discount	15.78	17.68	19.58	21.48	23.38
7.5% discount	18.29	20.49	22.69	24.89	27.09
5.0% discount	21.27	23.83	26.4	28.96	31.53

**Project level NPV, excl finance costs and central SG&A, discounted to build start*

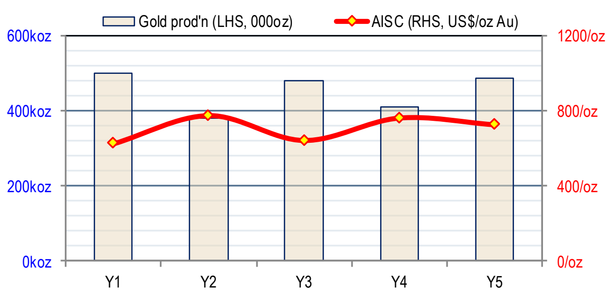
Group valuation over time^	Sep-24	Sep-25	Sep-26	Sep-27	Sep-28
Eskay Creek (C$m)	2,360	2,697	3,126	3,414	2,890
Net cash prior qtr (C$m)	160	51	(290)	(92)	501
G&A and finance costs (C$m)	(391)	(390)	(335)	(268)	(209)
Cash from options (C$m)	53	53	53	53	53
Snip	94	94	94	94	94
NAV FF FD (C$m)	2,275	2,505	2,648	3,201	3,328
1xNAV$_{5\%}$/sh FF FD (C$/sh)	**18.79***	**20.68***	**21.86***	**26.43***	**27.48***

Geared company NAV diluted for mine build, net G&A and finance costs					
1xNAV FF FD (C$/sh)^	$1800oz	$1900oz	$2000oz	$2100oz	$2200oz
10.0% discount	2,406	2,675	2,944	3,213	3,482
7.5% discount	2,519	2,806	3,093	3,380	3,668
5.0% discount	2,641	2,949	3,258	3,566	3,875
Geared project IRR:	40%	44%	47%	50%	53%
1xNAV FF FD (C$/sh)^	$1800oz	$1900oz	$2000oz	$2100oz	$2200oz
10.0% discount	19.65	22.28	24.93	27.59	30.25
7.5% discount	21.10	23.93	26.77	29.61	32.46
5.0% discount	22.65	25.69	28.7	31.80	34.86

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	500	380	480	410	485
C1 cost (US$/oz)	541	661	555	634	623
AISC cost (US$/oz)	626	772	643	759	724

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resources	AuEq (koz)	AuEq (g/t)
Pittable resource	5631koz	3.46g/t
Underground resource	393koz	5.86g/t
Snip	937koz	9.00g/t

Funding: uses		Funding: sources	
Build Capex	C$713m	Cash + pre Au ITM options	C$169m
SCPe G&A to 1st Au + NSR buyback	C$53m	Franco convert	C$0m
SCPe pre-production expl'n	C$52m	Orion Debt	C$467m
SCPe finance costs + wkg cap to Y1	C$200m	Orion Stream	C$267m
Total uses	C$1019m	Orion Over-run	C$131m
**Cash from options expiring pre first pour*		Build Equity	C$125m
Buffer	*C$139m*	Total proceeds	C$1158m

Ratio analysis	CY22A	CY23A	CY24E	CY25E	CY26E
Average shares out (m)	71.5	84.7	100.1	106.3	109.6
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	441.6	505.8	510.2	731.1	1,055.7
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	-

Income statement	CY22A	CY23A	CY24E	CY25E	CY26E
Net revenue (C$m)	-	-	-	-	-
Gross profit (C$m)	**-**	**-**	**-**	**-**	**-**
D&A, attrib (C$m)	0.3	0.4	0.2	-	-
Admin (C$m)	21.2	24.0	21.7	17.8	17.8
Expensed exploration (C$m)	91.6	91.9	55.0	14.0	3.0
Finance cost (C$m)	(0.4)	(2.0)	0.3	17.0	60.9
Royalty (C$m)	(9.5)	-	-	-	-
Forex, other (C$m)	(14.3)	(4.5)	(0.2)	-	-
Taxes (C$m)	-	(0.6)	-	-	-
Net income (C$m)	**(88.9)**	**(109.0)**	**(77.0)**	**(48.8)**	**(81.7)**

Cash flow, attrib.	CY22A	CY23A	CY24E	CY25E	CY26E
EBIT (C$m)	(89.3)	(111.7)	(76.8)	(31.8)	(20.8)
Add back D&A (C$m)	0.3	0.4	0.2	-	-
Less tax + net interest (C$m)	(0.4)	(2.7)	0.3	17.0	60.9
Net change in wkg cap (C$m)	6.2	8.4	(2.1)	-	-
Add back other non-cash (C$m)	(3.1)	8.0	4.2	-	-
Cash flow ops (C$m)	**(85.5)**	**(92.2)**	**(74.7)**	**(48.8)**	**(81.7)**
PP&E - build + sust. (C$m)	11.8	31.3	(79.7)	(285.2)	(285.2)
PP&E - expl'n (C$m)	(0.4)	-	22.5	-	-
Cash flow inv. (C$m)	**11.4**	**31.3**	**(57.2)**	**(285.2)**	**(285.2)**
Share issue (C$m)	82.7	110.9	100.0	25.0	-
Proceeds from sale (C$m)	-	-	133.3	133.3	65.3
Debt draw (repay) (C$m)	(0.5)	(1.0)	(0.4)	350.0	116.7
Cash flow fin. (C$m)	**82.3**	**109.9**	**232.9**	**508.3**	**182.0**
Net change in cash (C$m)	8.1	48.9	100.9	174.4	(184.9)
EBITDA (C$m)	*(89.0)*	*(111.3)*	*(79.8)*	*(36.0)*	*(21.9)*

Balance sheet	CY22A	CY23A	CY24E	CY25E	CY26E
Cash (C$m)	40.6	91.1	190.7	360.8	174.8
Acc rec., inv, prepaid (C$m)	9.5	6.4	5.1	5.1	5.1
PP&E + other (C$m)	117.9	97.5	152.2	437.4	722.6
Total assets (C$m)	**168.0**	**195.0**	**348.0**	**803.3**	**902.5**
Debt (C$m)	6.1	33.1	34.1	384.1	500.8
Accounts payable (C$m)	14.0	20.6	16.2	16.2	16.2
Others (C$m)	10.7	16.8	15.8	15.8	15.8
Total liabilities (C$m)	30.8	70.5	66.1	416.1	532.8
Sh'hlds equity + wrnts (C$m)	465.3	553.1	786.2	944.5	1,009.9
Retained earn'gs + rsvs (C$m)	(328.1)	(428.6)	(505.1)	(558.1)	(640.9)
Liabilities + equity (C$m)	**168.0**	**195.0**	**347.2**	**802.6**	**901.7**

DISCLOSURES & DISCLAIMERS

This research report (as defined under CIRO Rule 3600, Part B) is issued and approved for distribution in Canada by SCP Resource Finance LP ("SCP"), an investment dealer who is a member of The Canadian Investment Regulatory Organization ("CIRO") and the Canadian Investor Protection Fund ("CIPF"). This research report is provided to retail clients and institutional investors for information purposes only. The opinions expressed in this report are the opinions of the author and readers should not assume they reflect the opinions or recommendations of SCP's research department. The information in this report is drawn from sources believed to be reliable but the accuracy or completeness of the information is not guaranteed, nor in providing it does SCP or persons assume any responsibility or liability whatsoever. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any securities. SCP accepts no liability whatsoever for any loss arising from any use or reliance on this research report or the information contained herein. Past performance is not a guarantee of future results, and no representation or warranty, expressed or implied, is made regarding future performance of any security mentioned in this research report. The price of the securities mentioned in this research report and the income they generate may fluctuate and/or be adversely affected by market factors or exchange rates, and investors may realize losses on investments in such securities, including the loss of investment principal. Furthermore, the securities discussed in this research report may not be liquid investments, may have a high level of volatility or may be subject to additional and special risks associated with securities and investments in emerging markets and/or foreign countries that may give rise to substantial risk and are not suitable for all investors. SCP may participate in an underwriting of, have a position in, or make a market in, the securities mentioned herein, including options, futures or other derivatives instruments thereon, and may, as a principal or agent, buy or sell such products.

DISSEMINATION OF RESEARCH: SCP's research is distributed electronically through email or available in hard copy upon request. Research is disseminated concurrently to a pre-determined list of clients provided by SCP's Institutional Sales Representative and retail Investment Advisors. Should you wish to no longer receive electronic communications from us, please contact unsubscribe@scp-rf.com and indicate in the subject line your full name and/or corporate entity name and that you wish to unsubscribe from receiving research.

RESEARCH ANALYST CERTIFICATION: Each Research Analyst and/or Associate who is involved in the preparation of this research report hereby certifies that:

- The views and recommendations expressed herein accurately reflect his/her personal views about any and all of the securities or issuers that are the subject matter of this research report;
- His/her compensation is not and will not be directly related to the specific recommendations or view expressed by the Research analyst in this research report;
- They have not affected a trade in a security of any class of the issuer within the 30-day period prior to the publication of this research report;
- They have not distributed or discussed this Research Report to/with the issuer, investment banking group or any other third party except for the sole purpose of verifying factual information; and
- They are unaware of any other potential conflicts of interest.

UK RESIDENTS: SCP Partners UK Limited ("SCP UK") is an appointed representative of PillarFour Securities LLP which is authorized and regulated by the Financial Conduct Authority. This document has been approved under section 21(1) of the FMSA 2000 by PillarFour Securities LLP ("PillarFour") for communication only to eligible counterparties and professional clients as those terms are defined by the rules of the Financial Conduct Authority. Its contents are not directed at UK retail clients. PillarFour does not provide investment services to retail clients. PillarFour publishes this document as non-independent research which is a marketing communication under the Conduct of Business rules. It has not been prepared in accordance with the regulatory rules relating to independent research, nor is it subject to the prohibition on dealing ahead of the dissemination of investment research. It does not constitute a personal recommendation and does not constitute an offer or a solicitation to buy or sell any security. SCP UK and PillarFour consider this note to be an acceptable minor non-monetary benefit as defined by the FCA which may be received without charge. This is because the content is either considered to be commissioned by SCP UK's clients as part of their advisory services to them or is short term market commentary. Neither SCP UK nor PillarFour nor any of its directors, officers, employees or agents shall have any liability, howsoever arising, for any error or incompleteness of fact or opinion in it or lack of care in its preparation or publication; provided that this shall not exclude liability to the extent that this is impermissible under the law relating to financial services. All statements and opinions are made as of the date on the face of this document and are not held out as applicable thereafter. This document is intended for distribution only in those jurisdictions where PillarFour is permitted to distribute its research.

IMPORTANT DISCLOSURES FOR U.S. PERSONS: This research report was prepared by SCP Resource Finance LP ("SCP"), a company authorized to engage in securities activities in Canada. SCP is not a registered broker/dealer in the United States and, therefore, is not subject to U.S. rules regarding the preparation of research reports and the independence of research analysts. This research report is provided for distribution to "major U.S. institutional investors" in reliance on the exemption from registration provided by Rule 15a-6 of the U.S. Securities Exchange Act of 1934, as amended (the "Exchange Act"). Any U.S. recipient of this research report wishing to effect any transaction to buy or sell securities or related financial instruments based on the information provided in this research report should do so only through Sprott Global Resource Investments Ltd. ("SGRIL"), a broker dealer in the United States registered with the Securities Exchange Commission ("SEC"), the Financial Industry Authority ("FINRA"), and a member of the Securities Investor Protection Corporation ("SIPC"). Under no circumstances should any recipient of this research report effect any transaction to buy or sell securities or related financial instruments through SCP.

SGRIL accepts responsibility for the contents of this research report, subject to the terms set out below, to the extent that it is delivered to a U.S. person other than a major U.S. institutional investor. The analyst whose name appears in this research report is not licensed, registered, or qualified as a research analyst with FINRA and may not be an associated person of SGRIL and, therefore, may not be subject to applicable restrictions under FINRA Rule 2241 regarding communications by a research analyst with a subject company, public appearances by the research analyst, and trading securities held by a research analyst account. To make further inquiries related to this report, United States residents should contact their SGRIL representative.

ANALYST CERTIFICATION / REGULATION AC: The analyst and associate certify that the views expressed in this research report accurately reflect their personal views about the subject securities or issuers. In addition, the analyst and associate certify that no part of their compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

SCP RESOURCE FINANCE EXPLANATION OF RECCOMENDATIONS: Should SCP issue research with recommendations, the research rating guidelines will be based on the following recommendations:

BUY: The stocks total returns are expected to be materially better than the overall market with higher return expectations needed for more risky securities markets

NEUTRAL: The stock's total returns are expected to be in line with the overall market

SELL: The stocks total returns are expected to be materially lower than the overall market

TENDER: The analyst recommends tendering shares to a formal tender offering

UNDER REVIEW: The stock will be placed under review when there is a significant material event with further information pending; and/or when the research analyst determines it is necessary to await adequate information that could potentially lead to a re-evaluation of the rating, target price or forecast; and/or when coverage of a particular security is transferred from one analyst to another to give the new analyst time to reconfirm the rating, target price or forecast.

NOT RATED ((N/R): The stock is not currently rated

	Research Disclosure	Response
1	SCP collectively beneficially owns 1% or more of any class of the issuer's equity securities[1]	NO
2	The analyst or any associate of the analyst responsible for the report or recommendation or any individual directly involved in the preparation of the report holds or is short any of the issuer's securities directly or through derivatives	NO
3	An SCP partner, director, officer or analyst involved in the preparation of a report on the issuer, has during the preceding 12 months provided services to the issuer for remuneration other than normal course investment advisory or trading execution services	NO
4	SCP has provided investment banking services for the issuer during the 12 months preceding the date of issuance of the research report or recommendation	NO
5	Name of any director, officer, employee or agent of SCP who is an officer, director or employee of the issuer, or who serves in an advisory capacity to the issuer	NO
6	SCP is making a market in an equity or equity related security of the issuer	NO
7	The analyst preparing this report received compensation based upon SCP's investment banking revenue for the issuer	NO
8	The analyst has conducted a site visit and has viewed a major facility or operation of the issuer	YES
9	The analyst has been reimbursed for travel expenses for a site visit by the issuer	NO

SCP Resource Finance Equity Research Ratings:

Summary of Recommendations as of June 2024	
BUY:	48
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	3
NOT RATED:	0
TOTAL	51

[1] As at the end of the month immediately preceding the date of issuance of the research report or the end of the second most recent month if the issue date is less than 10 calendar days after the end of the most recent month